Type MS · Demand for labour: what makes firms hire

Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Consumers aim to maximise benefits A is not correct because firms often aim to maximise profit C is not correct because consumers are giving up the products D is not correct because these consumers would be calculating benefits	**(1)**

Question number	Which **one** of the following best describes the product? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** An inferior good A is not correct because YED does not determine whether a good is a public good B is not correct because the YED would be positive C is not correct because the YED would be positive and greater than 1	**(1)**

Question number	What is meant by the term productivity? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of output produced **(1)** in relation to the resources used/time period **(1)**	

Type MS · Demand for labour: what makes firms hire

Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 2 of 7 · find part i in this mark scheme extract

	Accept any other appropriate response	**(2)**

Type MS · Demand for labour: what makes firms hire

Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part i in this mark scheme extract

Question number	State the formula for social costs. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs Accept any other appropriate response	**(1)**

Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that creates/makes goods and/or services Accept any other appropriate response	**(1)**

Question number	Calculate the **total costs per month** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €37 000 + (€170 x 650) **(1)** Award 1 mark for calculating correct total costs = €147 500 **(1)** Award 2 marks if total costs per month are correctly calculated as €147 500 even if no calculations are shown Award 1 mark if the answer given is 147 500, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Demand for labour: what makes firms hire

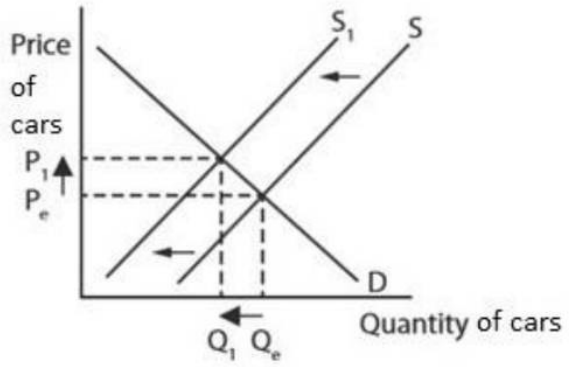
Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part i in this mark scheme extract

Type MS · Demand for labour: what makes firms hire

Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part i in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	(3)

Question number	Explain **one** reason why the CMA may have made this decision. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In order to prevent monopoly power **(1)** and so promote competition **(1)** as a firm with over 60% of the market may be less likely to innovate **(1)** Accept any other appropriate response	(3)

Type MS · Demand for labour: what makes firms hire

Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part i in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When an industry needs labour to create a good/service, the demand for labour is a derived demand • This is because the good/service cannot be produced without labour • Therefore, woodcutters are needed to cut the wood with which to make the furniture (the final product) • An increase in demand for furniture made of wood by 5% is likely to lead to an increase in the demand for woodcutters • This is because the greater the demand for a good or service, the greater the demand for labour is likely to be

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand for labour: what makes firms hire

Answer 1 of 5 · Question 1 part i · 6 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part i in this mark scheme extract

Question number	Which **one** of the following options shows unobtainable production? **Answer**	**Mark**

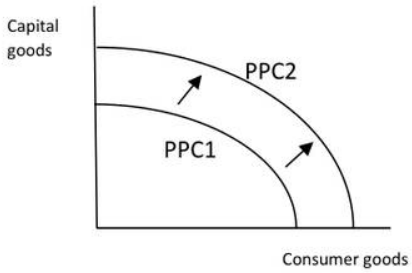
Type MS · Demand for labour: what makes firms hire

Answer 2 of 5 · Question 3 part d · 6 marks

2020 JAN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **B** Skilled labour	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Large firms dominate the market	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for correctly labelling the axes Award 1 mark for drawing PPC1 closer to the axes than PPC2 Award 1 mark for drawing PPC2 showing positive economic growth from PPC1  	**(3)**

Type MS · Demand for labour: what makes firms hire

Answer 2 of 5 · Question 3 part d · 6 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The demand for labour is likely to be affected by the wage rate, derived demand, productivity and the availability of substitutes • Machines provide a substitute for labour in many jobs and this factor is increasing • Google has developed an automated assistant meaning jobs currently performed by labour in call centres may also be replaced by machines • If machines can do the job more efficiently and/or cheaper then firms are likely to want to switch to machines, reducing the demand for labour • The more technology advances, the more substitutes there will be for labour and so the demand for labour is likely to continue to decrease

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand for labour: what makes firms hire

Answer 2 of 5 · Question 3 part d · 6 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Externalities are the spillover effects of consumption or production • Negative externalities occur when a cost is imposed on a third party by those organising or paying to attend fireworks displays • Some former military personnel experience negative externalities because they suffer from being reminded about experiences as a result of the loud noises even though they are not choosing to be consumers of the fireworks • This means the fireworks are providing a negative externality/external cost to these former military personnel as well as to animals that are frightened by the 'bang', 'pop' and 'whizz' sounds • As firework displays may take place for many reasons, private and public events and to celebrate religious occasions, the negative externality may be experienced at many times of year **AO4** • However, people who see and hear fireworks without paying to attend a display or intentionally being a consumer, may be experiencing external benefits • Positive externalities occur when a benefit is enjoyed by a third party • People away from the fireworks display may enjoy watching the colourful sparks in the sky but not the 'bang', 'pop' and 'whizz' noises • It is possible that a third party may experience both positive and negative externalities at different times • It may depend how long the fireworks last, the time of day they are displayed or how close they are to the third party

Type MS · Demand for labour: what makes firms hire

Answer 2 of 5 · Question 3 part d · 6 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand for labour: what makes firms hire

Answer 2 of 5 · Question 3 part d · 6 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand for labour: what makes firms hire

Answer 3 of 5 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** **D** Most efficient	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **C** Producer demand for labour to make goods	**(1)**

Type MS · Demand for labour: what makes firms hire

Answer 3 of 5 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for identifying the fixed costs 40 250 + 10 125 **(1)** Award 1 mark for calculating total fixed costs = 50 375 Rs **(1)** Award 2 marks if total fixed costs are correctly calculated as 50 375 Rs, even if no calculations are shown Award 1 mark if total fixed costs are correctly calculated as 50 375 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to amount willing and able to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Taxation **(1)** to reduce the consumption of a demerit good that is over consumed **(1)** Accept any other appropriate response	**(2)**

Type MS · Demand for labour: what makes firms hire

Answer 3 of 5 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in the context Irrigation would help the crops to grow **(1)** meaning farmers could grow more crops using the existing resources available **(1)** increasing the output and leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand for labour: what makes firms hire

Answer 3 of 5 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • When they set up the café, Jo and Fiona aimed to help young people in their local area and so making a profit was not their priority • Because there have been complaints about the length of time it takes customers to receive orders, the number of customers may fall • This may mean the sisters are unable to employ as many waiters and waitresses and even go out of business if they do not change the focus of their aims • In addition, the use of more experienced employees may lead to improved productivity and therefore profit could increase • By now focusing on increasing sales or making a profit, Jo and Fiona may be able to increase the number of customers visiting Lanterns which could help it stay in business **AO4** • However, some customers may visit the café because they like the sisters' aim of helping young people in the local area • Therefore if these waiters and waitresses are replaced with experienced employees, Lanterns may lose these customers, meaning the café is unable to stay in business • More experienced employees may demand higher wages and therefore increased costs. As a result this may not lead to increased profits • It may be more important to focus on caring for customers by spending longer training the inexperienced staff • This means Jo and Fiona would still employ young people from the local area but would also be trying to solve the problem of orders taking too long

Type MS · Demand for labour: what makes firms hire

Answer 3 of 5 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand for labour: what makes firms hire

Answer 3 of 5 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

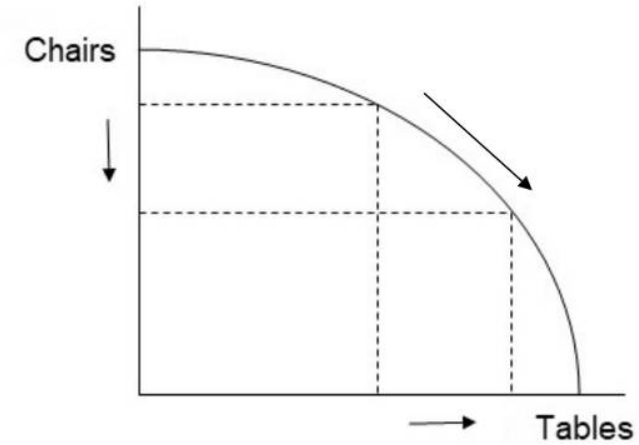
Type MS · Demand for labour: what makes firms hire

Answer 4 of 5 · Question 3 part e · 9 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** government intervention A is not correct because a pollution permit is not a resource used to produce goods and services C is not correct because a pollution permit does not have reduced average costs due to expansion D is not correct because these are things expected to be true although there is no definite proof	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **A** Increase in the use of fertiliser B is not correct because this would lead to a decrease in productivity C is not correct because this is not related to the productivity D is not correct because this would lead to a decrease in productivity	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes **(1)** Award 1 mark for showing a decrease in chairs on the PPF **(1)** Award 1 mark for showing an increase in tables on the PPF **(1)**  	**(3)**

Type MS · Demand for labour: what makes firms hire

Answer 4 of 5 · Question 3 part e · 9 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Vaccinations such as the MMR would provide an external benefit to people who do not receive the vaccination because there is less chance of contracting measles, mumps or rubella • This is because if more people are vaccinated with MMR, there is less chance of them passing on the diseases • Therefore there would be fewer people in England with measles, mumps or rubella, even if they did not receive the vaccination themselves • The NHS would prefer more children to have the vaccination because it would reduce the spread of disease • A healthier workforce would lead to higher levels of production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand for labour: what makes firms hire

Answer 4 of 5 · Question 3 part e · 9 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product, productivity and availability of substitutes, such as machines • This means that the advancement of technology in the retail sector has seen labour being replaced by machines • Therefore, fewer employees would be needed in shops such as those in town centres, especially as at least 10% of shops have been vacant for the last five years • As a result, the demand for labour is likely to be reduced by the availability of substitutes **AO4** • However, labour is still needed to develop, build and maintain the machines • As the percentage of online sales is now above 20% of total retail sales, more employees will be needed to meet this online demand, including warehouse operatives and postal workers to deliver retail orders • Therefore, although certain types of labour may reduce (such as shop workers), other types may increase (such as software developers) • As a result, the demand for labour will not always be reduced due to the availability of substitutes

Type MS · Demand for labour: what makes firms hire

Answer 4 of 5 · Question 3 part e · 9 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand for labour: what makes firms hire

Answer 4 of 5 · Question 3 part e · 9 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand for labour: what makes firms hire

Answer 5 of 5 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 261 - (58 + 64 + 79) **(1)** Award 1 mark for correct excess supply = 60 **(1)** Award 2 marks if excess supply is correctly calculated as 60 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market dominated by a few large firms • Airline passengers will have a choice over which airline they fly with because the firms in the oligopoly will be competing with one another to gain market share over their competitors • This means airlines such as Emirates may launch new routes or offer flights to different locations in order to attract more customers • Customers may also be offered lower prices and better quality of service • This is as a result of possible price wars between the airlines and/or non-price competition where the passenger's enjoyment of the flight is the focus of the airline when trying to increase custom

Type MS · Demand for labour: what makes firms hire

Answer 5 of 5 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand for labour: what makes firms hire

Answer 5 of 5 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 4 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour. **Indicative content**
(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product (derived demand), productivity and availability of substitutes, such as machines • The greater the demand for a good or service, the greater the demand for labour is likely to be • This means that more security staff are likely to be demanded to control spectators at sporting events or at music festivals because there is a greater demand from fans to watch the event • As there is a greater demand for food from those celebrating special holidays, more supermarket staff are likely to be demanded to sell goods to these customers at certain times of the year • Similarly, if there is less demand for a service, such as at a football stadium when no matches are being played, there will be less demand for labour, such as security staff • As a result, the demand for labour is affected considerably by derived demand **AO4** • However, even with an increase in demand for some goods and services, machinery may be substituted to meet the additional demand • This means that the demand for labour would not always increase due to derived demand • It is also possible that employees may be more productive under certain circumstances, meaning they can meet additional demand for goods and services without there being an actual increase in the demand for labour • At the same time, high levels of productivity may mean the firm requires fewer workers as costs can be reduced. This would again have a significant effect on the demand for labour • The advancement of technology has seen labour being replaced by machines in many industries, such as hospitality and customer services, as well as manufacturing • Although, the demand for labour is likely to increasingly be affected by the availability of substitutes. E.g. the availability of substitutes would be limited for security at music festivals and sporting events • The significance of derived demand may depend on the industry, as some work may be conducted by machines instead • It may also depend on the extent to which labour is needed to develop, build and maintain machines that have been used as substitutes for labour because this could reduce the effect this factor has on the demand for labour

Type MS · Demand for labour: what makes firms hire

Answer 5 of 5 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).